Instant Combo Savings®

Delivering shopper value while building Crazy's Own Brands

Replace and find: OB, Own
Brand = PL, Private label

May 11, 2009

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Objectives For Today's Meeting

- Who we are and how the ICS program evolved
- Introduce Crazy to ICS -- a patent pending program that creates value for Crazy shoppers and helps Crazy reach its corporate goals
- Explain the ICS program and execution details
- Recommended Next Steps

Who we are

- ICS launched by Theme Co-op Promotions (TCP) www.themeco.com
  - 25 + years experience in CPG brand partnership programs
  - Worked with virtually every national CPG company
  - Programs are funded from National Brand budgets
- We are experts in designing and executing partnership programs



Who we are

Examples of TCP Programs











Emerald Nuts/Coke Event



Heinz/Frito-Lay Event



General Mills/Dasani Group Event



Aquafina/Oral-B Event

Who we are

Examples of TCP Programs



Vanilla Coke & HEB Ice Cream



Del Monte Vegetables & Ocean Spray & HEB Own Brands

Helping Crazy achieve corporate goals

- Create value for Crazy's shoppers
  - Savings on Crazy's Own Brands when purchasing national CPG brands
  - Bonus savings with multiple purchases
- Build Crazy Own Brands
  - Drive trial with FREE OB offers paid for by national brands
  - Retain new users and grow HH user base
  - Educate Crazy shoppers on the value and number of OB offerings
- Develop programs that differentiate Crazy from other competitors including Wal-Mart
- Drive traffic to www.Crazy.com
- Secure incremental funding from CPG national budgets that would otherwise fund FSIs or Catalina
  - ICS runs across a national network of retailers
- Sell more products at everyday price

Catalina Marketing is a registered trademark of Catalina Marketing Corporation

Add more Retailer goals – if we can

What is Instant Combo Savings ?

- CPG brands promote Crazy OB through high value combo offers. Either the CPG or the Crazy brand are offered for FREE*
- CPG & OB items are sold at everyday price.** CPG pays redemption for the free item at full retail price
- Offers are grouped by department such as Grocery, HBC, Frozen, etc…
- There are 3 combo offers in each department
- Shoppers redeem each offer individually. When they take advantage of all 3 offers within one department, a bonus is triggered and their savings are doubled
- Savings are delivered instantly at checkout when participating brands are scanned



weekly circular

*Assumes 25 – 30% savings for each offer
**Crazy has the option to reduce price on the OB item, if desired

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What is Instant Combo Savings ?

Great value for Crazy Shoppers !

Frozen – Total Savings $6.27 Plus Bonus

- Buy one 10ct. Eggo Homestyle waffles ($2.79 each)…GET FREE Crazy 12 oz. frozen orange juice ($1.59 each)
- Buy one 38 oz. Stouffers frozen lasagna ($7.52 each)…GET FREE Crazy frozen garlic bread (16 oz.)($2.29 each)
- Buy one 16 oz. Sara Lee All Butter Pound Cake ($4.57 each)…GET FREE Crazy 16 oz. Frozen Strawberries ($2.39)

Dairy – Total Savings $5.28 Plus Bonus

- Buy 6 Dannon yogurt (6 oz.)($4.00)…GET $1.50 OFF Crazy 64 oz. carton orange juice ($2.59 each)
- Buy one Crazy 16oz cheese ($4.29)…GET FREE 5 oz. Hillshire Farm Deli Select ($1.99 each)
- Buy one 16 oz. package Land 'O Lakes butter ($3.49 each)…GET FREE Crazy 8 oz. crescent rolls ($1.79 each)

HBC – Total Savings $5.76 Plus Bonus

- Buy two 6.4 oz. tubes Aquafresh toothpaste ($2.17 each)….GET FREE Crazy toothbrush ($1.99 each)
- Buy one 7 oz. Edge or Skintimate shaving gel ($2.39-$2.99 each)…..GET FREE Crazy deodorant stick (3.25 oz.) ($1.77 each)
- Buy one Crazy 12.6 oz. Pro Vitamin shampoo ($3.19 each)…GET $2.00 OFF one 18 oz. Soft Soap moisturizing body wash ($3.99 each)

Grocery – Total Savings $4.34 Plus Bonus

- Buy one 12 oz. box Rice Krispies ($3.43 each)…GET FREE Crazy 16 oz. bag marshmallows ($1.59 each)
- Buy 2 Crazy 12oz. bag potato chips ($2.00 each)…GET FREE one 2-liter bottle of Coca-Cola Classic ($1.49 each)
- Buy one 16 oz. box Club Crackers ($3.99 each)…Get 2 FREE Crazy 10.5 oz. cans condensed soup (chicken noodle or tomato)($.63 each)

Total Savings (including bonus) is $43.54 from a total market basket of $73.03*

Bonus can be instant, deferred or pointed to a specific department (pharmacy, etc.)

*Based on store surveys (Chicago area) on 4/6 & 4/21/09

Customize for retailer

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What is Instant Combo Savings ?

- Each ICS program runs for one week and includes one or more department programs

Example:

Crazy could run 1 department each week
OR
Crazy could run 2 departments one week and 2 departments another week during the same 4 week period
OR
Crazy could run 4 departments for one week







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Wal-Mart can't compete

(Sample From ICS Program - Store surveys done 4/6 & 4/21/09 – Chicago area)

			ICS Spend		
	Meijer	Wal-Mart	Meijer	Wal-Mart	Savings Vs
Eggo Homestyle Waffles 10 ct.	2.79	2.12	2.79	2.12	Wal-Mart
OB 12 oz. frozen orange juice	1.59	1.28	-	1.28	
Total			2.79	3.40	.61
Stouffers Lasagna 38 oz.	7.52	7.38	7.52	7.38	
OB 16 oz. frozen garlic bread	2.29	1.74	-	1.74	
Total			7.52	9.12	1.60
Sara Lee Pound Cake 16 oz.	4.57	4.38	4.57	4.38	
OB 16 oz. frozen strawberries	2.39	2.08	-	2.08	
Total			4.57	6.46	1.89
TOTAL			14.88	18.98	4.10
BONUS			6.27	-	6.27
NET SPEND			8.61	18.98	10.38

The spend at Meijer is $10.38 less than Wal-Mart, i.e. 54% less

Customize for Retailer

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How the program executes

- ICS works with Crazy and Daymon Worldwide to create the optimum combo offers using Crazy's shopper insights and category goals
- ICS personnel secure CPG partners, develop and produce signage (using Crazy signage standards) and work with Crazy and Daymon to develop the ad and website copy.
- ICS works with Daymon and CPG partners to develop display units and POS that comply with Crazy standards
- ICS coordinates with Crazy and Daymon to plan display locations

Replace and find Daymon & Daymon Worldwide

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How the program executes

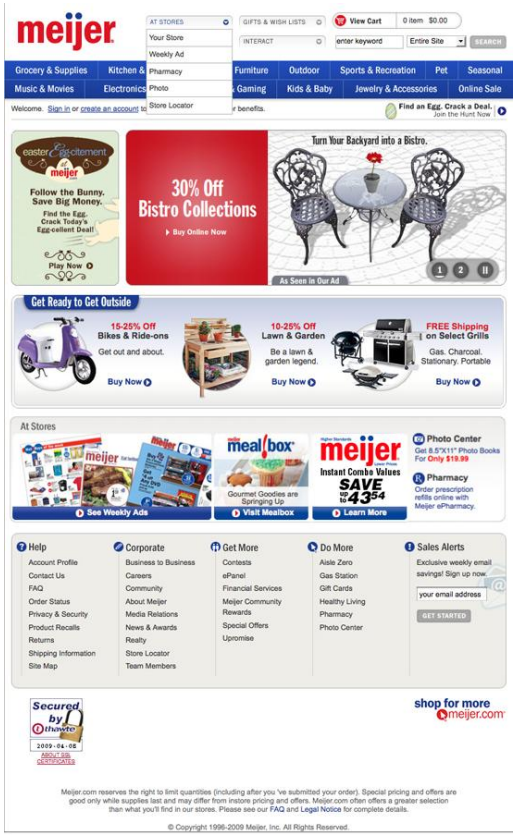
- Each one week program is announced through Crazy's weekly ad



weekly circular

How the program executes

- Each one week program is also announced through Crazy's website



Home page



How the program executes

- Each one week program can also be announced on the front or back cover



Program announcement on Page 1 of weekly circular

How the program executes

- Alternatively a gatefold format can be used to announce the one week program





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How the program executes

Displays

- Each program is executed through combo displays
- ICS works with Crazy, Daymon and CPG partner to determine the quantity of product on display based on projected lift, etc…
- ICS works with the CPG brand to develop pre-packed displays for HBC and Center Aisle that meet Crazy standards
- Combo programs can be displayed with pallets
- CPG partner assumes the cost of the display unit and POS signage

How the program executes

Multi-Shelf Endcap

- For combo programs executed on multi shelf end caps, ex. HBC, CPG brands would be responsible for producing POS and providing display trays or fastrack displays if requested by Crazy





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How the program executes

Floor Display

- For CPG DSD brands, their merchandisers would bring the display unit into the store and stock their product. OB DSD or store personnel would be responsible for stocking OB on the top shelf of the display
- For CPG warehouse brands, pre-packed display units are delivered to Crazy's warehouse and stores. Crazy store personnel would be responsible for stocking OB on the top shelf of the unit. Optionally, a 3rd party offsite can be used to pack/ship displays with both CPG & OB





How the program executes

Floor Display

- Half pallets or full pallets can be used depending on projected velocity, etc.



Full pallets can hold up to 4 display units



½ pallets holds 2 display units

How the program executes

Frozen

- Frozen end caps would be executed in the same manner as customary frozen promotions
- In stores where display space was not available, the program would be run off the shelf





How the program executes

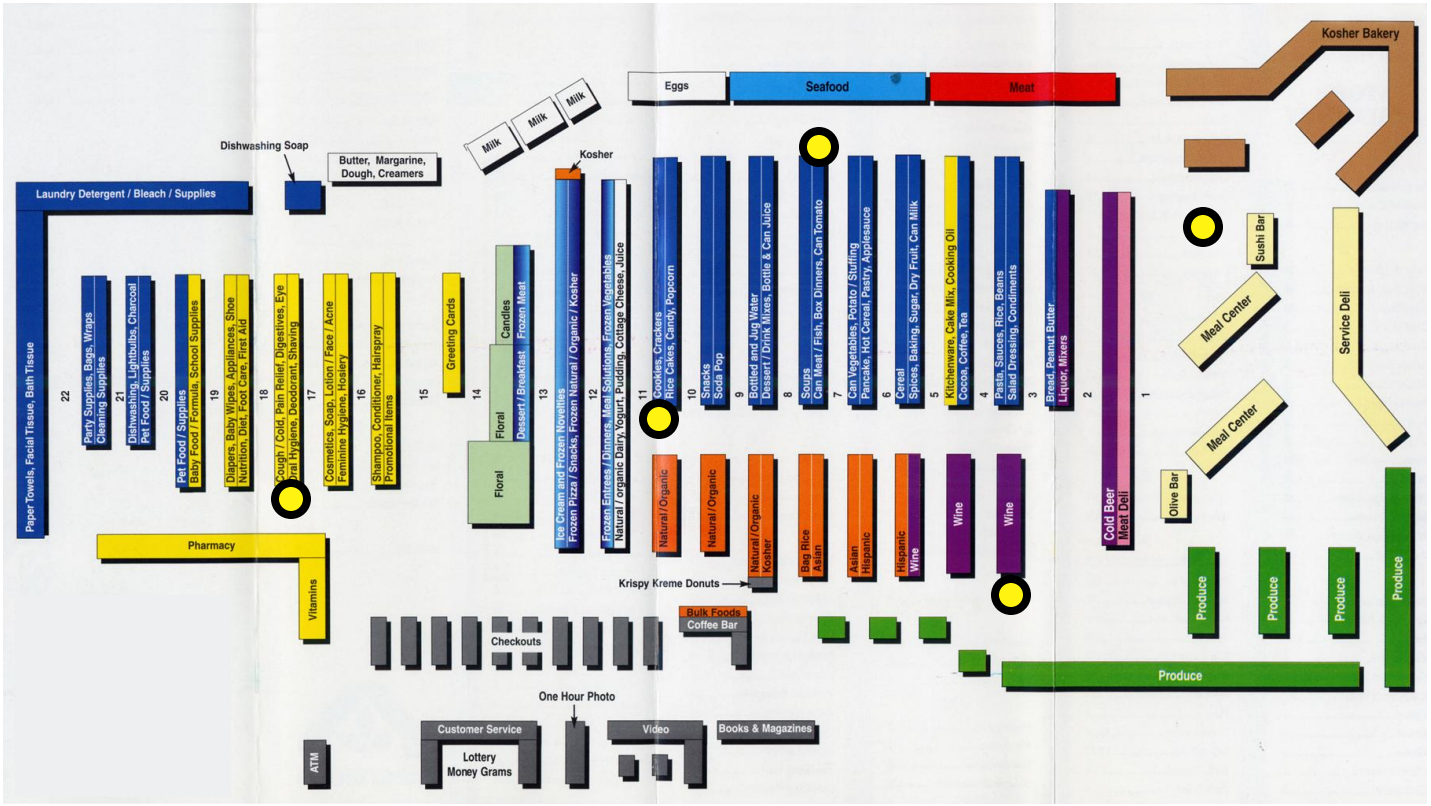
Dairy

- Dairy case displays would be executed in the same manner as customary dairy promotions
- In stores where display space was not available, the program would be run off the shelf



How the program executes

- ICS works with Crazy and Daymon to ensure 100% compliance in stores where Crazy can guarantee displays



Promotional display locations

Put in Generic store plan – request store plan from retailer

How the program executes

Technology

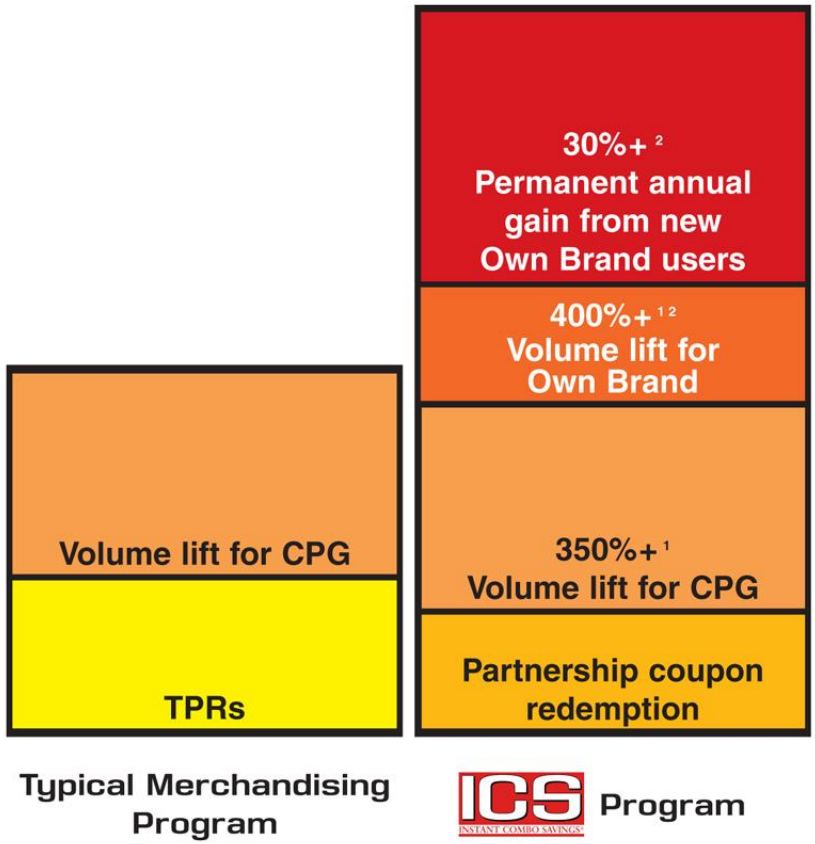
- ICS program runs like current Crazy BAGB promotions that use electronic offers
- Bonus offers: Double savings if all products are purchased in the same transaction from one grouping
- Bonus savings can be delivered instantly or can be applied to future purchases (for example $6 off your next prescription)
- Catalina system can be used to print future purchase coupons
- As an option, ICS offers proprietary software to run promotional offers

Why ICS?

Typical results with an ICS Program

- ICS delivers more revenue than a typical merchandising program
- 400% lift for Private Label
- 30% permanent annual gain for Private Label
- 350% lift for CPG brand
- Assumes 90%+ compliance

Revenue Comparison
(1 week program)



[1] Based on results from Kellogg's/VG's11/08 program with fully executed merchandising conditions
[2] Each ICS offer will generate a lift of 400%+, i.e. 4 weeks additional business for each Own Brands brand. Assuming ½ of the gain comes from new users and 15% of new users become regular customers, the result is an increase of 30% in the user base.

Why ICS ?

Recap

- Fully funded by CPG brands from national budgets
- Provides a continuous revenue stream month after month
- ICS program is non-transferable. Coupon offers can only be redeemed at Crazy stores, not Kroger, Wal-Mart or Target
- ICS program allows Crazy to beat Wal-Mart and other competitors hands down on value
- ICS helps Crazy sell products at everyday price
- ICS monthly program builds Crazy's portfolio of Own Brands products
- Opportunity to expand to other departments including bakery, produce, deli and general merchandise
- ICS works closely with Crazy, Daymon and the CPG partner to coordinate and execute the program
- ICS program helps transition Crazy shoppers to www.Crazy.com
- ICS prepares a full post promotion analysis

Recommended next steps

- Feedback from Crazy leadership
- Meet with Crazy Operations leadership
- Commitment from Crazy to run ICS program
- Feasibility of running ICS programs in PX and/or PY

Put in time period PX and/or PY

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